

Notes for Part F of Form EA: List of tax exempt allowances / perquisites / gifts / benefits which are required to declare:

NO.	SUBJECT	EXEMPTION LIMIT (PER YEAR)
1.	Petrol allowance, travelling allowance or toll payment or any of its combination for official duties. If the amount received exceeds RM6,000 a year, the employee can make a further deduction in respect of the amount spent for official duties. Records pertaining to the claim for official duties and the exempted amount must be kept for a period of seven years for audit purpose.	RM6,000
2.	Child care allowance in respect of children up to 12 years of age .	RM2,400
3.	(a) Gift of fixed line telephone, mobile phone, pager or <i>Personal Digital Assistant</i> (PDA) including the cost of registration and installation registered in the name of the employee. (b) Gift of fixed line telephone, mobile phone, pager or <i>Personal Digital Assistant</i> (PDA) including the cost of registration and installation registered in the name of the employer.	Limited to only 1 unit for each category of assets
4.	(a) Monthly bills for fixed line telephone, mobile phone, pager, PDA or subscription of broadband including the cost of registration and installation registered in the name of the employee. (b) Monthly bills for fixed line telephone, mobile phone, pager, PDA or subscription of broadband including the cost of registration and installation registered in the name of the employer. Note: Where an employee receives a fixed allowance for telephone, the full amount of the telephone allowance is taxable.	Limited to only 1 line for each category of assets
5.	The amount received by employees for the purpose on obtaining a smartphone or tablet or personal computer. [P.U. (A) 134/2021 dan P.U. (A) 30/2021 – from year of assessment 2020]	Limited to an amount not exceeding RM5,000
6.	Perquisite (whether in money or otherwise) provided to the employee pursuant to his employment in respect of:- (i) past achievement award; (ii) service excellence award, innovation award or productivity award; or (iii) long service award (provided that the employee has exercised an employment for more than 10 years with the same employer).	RM2,000
7.	Parking rate and parking allowance. This includes parking rate paid by the employer directly to the parking operator.	Restricted to the actual amount expended
8.	Meal allowance received on a regular basis and given at the same rate to all employees. Meal allowance provided for purposes such as overtime or outstation / overseas trips and other similar purposes in exercising an employment are only exempted if given based on the rate fixed in the internal circular or written instruction of the employer.	
9.	Subsidised interest for housing, education or car loan is fully exempted from tax if the total amount of loan taken in aggregate does not exceed RM300,000. If the total amount of loan exceeds RM300,000, the amount of subsidized interest to be exempted from tax is limited in accordance with the following formula: $A \times \frac{B}{C}$ Where; A = is the difference between the amount of interest to be borne by the employee and the amount of interest payable by the employee in the basis period for a year of assessment; B = is the aggregate of the balance of the principal amount of housing, education or car loan taken by the employee in the basis period for a year of assessment or RM300, 000, whichever is lower; C = is the total aggregate of the principal amount of housing, education or car loan taken by the employee. Note:- Exemption of subsidised interest is applicable to: ~ any type of residential property regardless of whether the employee already owns another residential property. ~ education loan which is utilised for the employee's own education. ~ a motor vehicle other than a motor vehicle licensed for commercial transportation of goods or passengers.	
THE ABOVE EXEMPTIONS ARE NOT APPLICABLE TO EMPLOYEES HAVING CONTROL OVER THE COMPANY, SOLE PROPRIETORS OR PARTNERS OF PARTNERSHIP BUSINESSES		
Notes:		
1. Only tax exempt allowances / perquisites / gifts / benefits / listed above (No. 1 to 9) are required to be declared in Part F of Form EA.		
2. Others allowances / perquisites / gifts / benefits which are exempted from tax but not required to be declared in Part F of Form EA are as follows:		
(i) Consumable business products of the employer provided free of charge or at a partly discounted price to the employee, his spouse and unmarried children. The value of the goods is based on the sales price. Benefits received by the employee from a company within the same group of companies as his employer are not exempted from tax . The exemption is restricted to RM1,000.		
(ii) Leave passage for travel (confined only to the cost of fares for the employee and members of his immediate family). (a) within Malaysia (including meals and accomodation) for travel not exceeding 3 times in any calendar year; or (b) outside Malaysia not exceeding one passage in any calendar year, is limited to a maximum of RM3,000.		
(iii) Service provided free or at a discount by the business of the employer to the employee, his spouse and unmarried children. Benefits received by the employee from a company within the same group of companies as his employer are not exempted from tax .		
(iv) Tax exempt medical benefits are extended to include traditional medicine and maternity expenses. Traditional medicine means Malay, Chinese and Indian Traditional Medicine given by a medical practitioner registered with bodies which are certified or registered in accordance with the rules governing traditional medicine as laid by the Ministry of Health. Example: Malay traditional massage, ayurvedic or acupuncture. Complimentary medicine and homeopathy such as aromatherapy, reflexology, spa and Thai traditional massage are not included in this exemption.		
(v) Insurance premiums which are obligatory for foreign workers as a replacement to SOCSO contributions.		
(vi) Group insurance premium to cover workers in the event of an accident.		